

10 Taxation (continued)

The tax expense for 2019 is higher and the tax credit for 2018 is lower than the standard rate of corporation tax in the UK. The differences are explained below:

£m	2019	2018
Loss before tax, joint ventures and associates	(1,856.8)	(1,139.6)
Loss before tax multiplied by the standard rate of tax in the UK of 19% (2018: 19%)	(352.8)	(216.6)
Exempt property rental profits and revaluations	307.0	214.9
	(45.8)	(1.7)
Tax on shortfall of minimum PID	22.1	–
Additions and disposals of property and investments	7.1	0.3
Non-deductible and other items	3.4	3.4
Overseas taxation	(3.4)	(0.4)
Unprovided deferred tax ¹	22.4	(7.3)
Total tax expense/(credit)	5.8	(5.7)

¹ The unprovided deferred tax predominantly relates to revenue losses, property fair values and derivative fair values.

Factors that may affect future current and total tax charges

Management uses judgement in assessing compliance with REIT legislation.

The Group believes it continued to operate as a UK REIT throughout the year, under which any profits and gains from the UK property investment business are exempt from corporation tax, provided certain conditions continue to be met. The Group believes that these UK REIT conditions have been fulfilled throughout the year.

In view of the announced short-term reduction of dividends there will be an underpayment of the minimum PID, and therefore under REIT legislation, the Group will incur UK corporation tax payable at 19 per cent while remaining a REIT.

The ongoing current tax expense in the year of £16.0 million includes £15.7 million relating to corporation tax on the estimated current period underpayment of the minimum PID. This amount has been included within the Group's measure of underlying earnings as it relates to a tax expense on current year UK rental income.

The UK exceptional current tax expense in the year of £6.4 million represents in full the corporation tax arising in the current year in respect of the prior year underpayment of the minimum PID. This one-off tax expense in respect of prior year profits has been classified as exceptional (see accounting policy in note 2) based on its incidence, and so is excluded from the Group's measure of underlying earnings.

Balance sheet

Under IAS 12 Income Taxes, provision is made for the deferred tax assets and liabilities associated with the revaluation of assets and liabilities at the corporate tax rate expected to apply to the Group at the time the temporary differences are expected to reverse. For those UK assets and liabilities benefiting from REIT exemption the relevant tax rate will be 0 per cent (2018: 0 per cent), and for other UK assets and liabilities the relevant rate will be 19 per cent if the temporary difference is expected to be realised before 1 April 2020 and 17 per cent if it is expected to be realised on or after 1 April 2020 (2018: 19 per cent before 1 April 2020, 17 per cent thereafter). For Spanish assets and liabilities the relevant tax rate will be 25 per cent (2018: 25 per cent).

Movements in the provision for deferred tax:

£m	Investment and development property	Other temporary differences	Total
Provided deferred tax provision/(asset):			
At 1 January 2018	24.6	(0.9)	23.7
Recognised in the income statement	(5.5)	(0.3)	(5.8)
Foreign exchange movements	0.1	–	0.1
At 31 December 2018	19.2	(1.2)	18.0
Recognised in the income statement	(16.4)	(0.2)	(16.6)
Foreign exchange movements	(0.5)	–	(0.5)
At 31 December 2019	2.3	(1.4)	0.9

The net deferred tax provision of £0.9 million predominantly arises in respect of the revaluation of development property at intu Costa del Sol, partially offset by associated tax losses.